



Commercial Strategy

Upper River Dee

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For: Dee Rivers Trust and Atlantic Salmon Trust

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Executive Summary

All figures are indicative: they come from desktop GIS analysis, and baseline surveys to code standard come next.

Great Yellow assessed how the Dee Rivers Trust and partners can use the natural capital of the Upper Dee to fund salmon conservation and landscape restoration. Woodland and peatland carbon are the largest funding streams, with a conservative financing potential of approximately £50M over a 20 year period. A second opportunity sits in the voluntary water markets: Natural Flood Management, Water Quality and Replenish, driven by the many businesses and communities that depend on the Dee. Voluntary biodiversity and species funding could add a meaningful contribution, helped by the charismatic nature of the project. A catchment scale approach is judged the most compelling nature finance solution for this geography. The next phase should focus on landowner participation and baseline habitat surveys to natural capital standards.

Questions for the Client to Consider

1. How should the strategy be communicated to landowners and communities, and what engagement process would build trust from the outset?
2. Who takes this work forward: an existing organisation with a mandate, or a new delivery function?
3. How are benefits shared among stakeholders and communities?
4. What will the proposed work cost, who funds pre-commercial development, and can Great Yellow bring in catalytic private capital?
5. What governance structure and delivery body would suit the Upper Dee, and how are competing interests represented and resolved?
6. Who are the ideal partners across engagement, structuring, delivery, monitoring and buyer engagement, and where are the critical gaps?
7. How is project integrity protected over time, which standards govern credits, and what happens if outcomes fall short?
8. What does success look like at five, ten and twenty-five years, and are ecological, financial and community outcomes weighted equally?
9. How should the Upper Dee position itself against the Natural Environment (Scotland) Act 2026 and the Ecosystem Restoration Code, and what are the risks of being an early demonstrator?

Introduction

The Upper Dee spans approximately 150,000 hectares in the Cairngorms National Park and is held mainly across eight major sporting estates. Overgrazing by deer, peatland drainage and climate change have degraded the landscape, and Atlantic salmon on the Dee are now critically endangered. Great Yellow was commissioned to produce a roadmap to finance restoration at catchment scale. The report asks two questions: can the Upper Dee be restored at catchment scale, and is it investable beyond grant dependency?

This strategy covers seven markets: carbon, Biodiversity Net Gain, voluntary biodiversity, Natural Flood Management, water quality, Replenish and regenerative deer management. Public funding is in scope as co-funding next to private buyers.

Project Vision

The original vision was to restore instream and riparian habitat to halt the decline of Atlantic salmon and freshwater pearl mussels. It has evolved into a holistic, catchment-scale nature recovery project, with resilience for communities, businesses and stakeholders at its heart. Salmon remain an essential outcome.

Peatland Restoration. Over 9,000 hectares of degraded peatland have been identified for restoration. Rewetted peat regulates flows, cools river water and cuts sediment, and supports flood and drought resilience for a river that supplies approximately 300,000 people.

Riparian and Native Woodland Planting. 1,700+ hectares have been identified for tree planting, mainly along river corridors, to shade water towards the 16°C salmon threshold, exceeded by 70% of Scottish rivers in 2018. The 1,784.3 hectares identified are eligible for the Woodland Carbon Code. WCC eligibility extends to 69% of the Upper Dee landscape.

Grazing Management. Deer density currently exceeds 12 to 15 deer per km², well above the less than 5 deer per km² needed for natural regeneration. High deer numbers also undermine peatland restoration. Regenerative deer management is presented as a commercial case as much as an ecological one.

Floodplain and River Restoration. Measures include breaching old embankments to reconnect rivers to floodplains, creating wetlands and open water, and seepage ponds on valley sides. Small structural works include channel widening, embankment removal and flow-deflecting structures. These amplify the benefits of peatland and woodland work.

Identifying a natural capital opportunity. Together the interventions deliver carbon, biodiversity, water quality, flood management, water security and socio-cultural benefits. The identified market mechanisms are woodland and peatland carbon, voluntary biodiversity, Natural Flood Management, Water Quality, Replenish and supply chain resilience funding schemes.

Market Readiness

Nature markets differ in maturity, judged by standard availability, MRV complexity, market traction, buyer appetite and market value. The UK voluntary carbon market is the most mature, while the voluntary water markets are the least mature commercially but have high potential.

Market	Risk (1 low, 5 high)	Maturity
Voluntary Carbon	1	Most mature, but costly and slow to take from concept to transactable; Peatland Code units are avoidance credits, and buyers prefer removals
Compliance Biodiversity	N/A	Not yet mandated in Scotland
Voluntary Biodiversity	3	Nascent and fragmented, buyers favour bespoke deals
Water Quality	3	Technically complex, least mature commercially, high potential
Natural Flood Management	2	Technically complex, least mature commercially, high potential
Replenish	3	Technically complex, least mature commercially, high potential

Demand Mapping Methodology

Great Yellow combined geospatial beneficiary analysis with direct market intelligence. Its Geospatial Predictive Analysis Platform (GPAP) maps water abstraction licence holders and flood-prone communities and assets using SEPA's National Flood Risk Assessment data. Internal GY research identified asset holders, landowners, communities and businesses within or next to the project boundary. This was supplemented by GY's wider buyer network, which matters most for carbon, where buyers are national and international.

The Carbon Markets

Market introduction. Carbon is the most investable and stable natural capital market in this strategy. The voluntary carbon market is the only one open to the Upper Dee, through the Peatland Carbon Code and Woodland Carbon Code, with possible Verra routes.

Market status. The VCM went through a dip after media criticism in 2021 and 2022, followed by a maturation phase. Retirements have held at approximately 182 MtCO₂e since 2021, even as transaction volumes fell by 25%. Buyers now seek domestic, verified, nature-based credits with strong co-benefits.

Supply and demand. UK domestic credits sold for £35 to £100/tCO₂e in 2025. WCC sold 345,725 units in 2023 and 277,815 in 2024, while PCC units rose from 9,053 in 2022 and 11,416 in 2023 to 187,291 in 2024, an increase of over 1,500%. PCC credits are avoidance credits, but buyer appetite for them is growing.

MRV. Both codes quantify in tCO₂e and issue through the S&P Global Environmental Registry. The process runs from baseline surveys and validation to Pending Issuance Units, annual monitoring and five-yearly verification. Permanence monitoring runs 40 to 100 years for woodland and 30 years for peatland.

Routes to market. WCC needs a Woodland Creation Design Plan, registry listing, validation, verification at year 5 then every ten years, a 40 year minimum permanence and a 20% buffer. PCC needs a peat condition survey, GHG baseline, registry listing, validation, five-yearly verification, a minimum 30-year duration and a 20% buffer. Great Yellow can support both codes and structure forward sales of PIUs.

Pricing. GY's indicative curve gives WCC spot prices rising from £82 in 2026 to £116 in 2032, and PCC spot from £62 to £87. Risk-adjusted forward prices fall from £82 to £61 (WCC) and £62 to £46 (PCC) over the same years. Spot prices are expected to rise, while forward prices are lower to reflect delivery risk.

Upper Dee opportunity

GIS analysis finds 9,113 hectares of degraded peatland: 6,674 ha eroded and 2,605 ha affected by drainage. At £25/tCO₂e, peatland revenue is ~£31.7m (6,600 ha conservative) to ~£43.7m (9,113 ha upside), an indicative £44 million over a 30-year crediting period. The 1,784.3 ha of WCC-eligible riparian woodland gives 171,300 net tCO₂e and an indicative £8.6 million over 30 years. Combined carbon sits at approximately £50 million against gross restoration costs of £27 million to £35 million. After about £6.24 million of Forestry Grant Scheme funding, the indicative net surplus is approximately £25 million.

	Peatland Scenario A, Conservative (6,600 ha)	Peatland Scenario B, Upside (9,113 ha)	Woodland (1,784.3 ha)
Gross credits	1,584,000tCO ₂ e	2,187,120tCO ₂ e	214,116 tCO ₂ e
Less 20% buffer	(316,800)	(437,424)	
Net credits	~1,267,200tCO ₂ e	~1,749,696 tCO ₂ e	171,300 tCO ₂ e
Indicative revenue	~£31.7m (at £25/tCO ₂ e)	~£43.7m (at £25/tCO ₂ e)	~£8.6M (at £30/tCO ₂ e)
Indicative gross restoration cost		~£9.4 million to £17.3 million	~£17.84 million (~£11.6 million net of FGS)

Strategic customer targets

Organisation	Why relevant
Aviva	229,794 credits retired, high integrity preference
NatWest Group	Confirmed Woodland Carbon Code buyer, 2030 operational net zero
Lloyds Banking Group	Net zero operations 2030, interested in water as a carbon co-benefit
Bupa	Net Zero operations 2040, SBTi validated
Diageo / Royal Lochnagar Distillery	Distillery on the Dee, £5 million peatland restoration fund
Unilever	SBTi FLAG Scope 3 rationale, commitment status to verify
Marks & Spencer	SBTi FLAG Scope 3 rationale, commitment status to verify
John Lewis Partnership / Waitrose	SBTi FLAG Scope 3 rationale, commitment status to verify
Universities of St Andrews and Edinburgh	Institutional targets for peatland and soil carbon
Scottish Water	Abstracts from the Dee, peatland restoration is a stated priority
Deeside Water Company	Business depends on the purity and brand of Deeside water
Scottish Power	Net Positive biodiversity target by 2030
Deeside and Lost Loch Distilleries	Story-driven pilot partners rather than volume buyers

Biodiversity Net Gain (BNG)

Market introduction. England's compliance BNG market has grown fast, from approximately 1,500 units allocated in February 2026 to upwards of 2,400 by June 2026, with units at £20,000 to £130,000. Scotland has no mandatory BNG yet, but the English market has driven voluntary demand in Scotland using the same metric.

Market status. Using compliance-grade tools gives voluntary buyers confidence. In 2025 Gaia listed 79 registered projects, 47 pending issuance and 125 voluntary BNG projects.

Supply and demand. A small but growing number of Scottish corporates buy voluntary BNG credits or fund habitat creation measured with the BNG metric. True demand is hard to size, as most commitments do not specify a method, which leaves room for the Upper Dee to absorb it.

MRV. In England, BNG requires a Habitat Management and Monitoring Plan, a 30-year legal agreement, a Biodiversity Gain Plan using DEFRA's metric and registration on the Gain Site Register. Voluntary BNG does not need formal registration.

Routes to market. The BNG Metric scores habitat type, condition and spatial distinctiveness before and after intervention. The Upper Dee route involves a baseline survey, gain site registration (or voluntary equivalent), monitoring over the agreement and independent verification.

Pricing. Voluntary units price well below compliance units at £20,000 to £130,000. Purely voluntary credits, such as Earthly's, sell at approximately £100-200 per unit. Great Yellow assumes £200 per BNG equivalent unit as a working assumption.

Upper Dee opportunity

The Upper Dee has highly distinctive habitats such as blanket and modified bog, upland heath, riparian woodland and river systems, many in degraded condition. Unit volumes and revenue will be confirmed after baseline surveys. BNG units and carbon cannot currently come from the same hectare within one project. The programme is designed to move into a Scottish compliance market when it arrives.

Strategic customer targets

Organisation	Why relevant
Scottish and Southern Electricity Networks (SSEN)	Active BNG-style adopter in Scotland, existing GY relationship
ScottishPower	Net positive biodiversity by 2030, buys voluntary BNG credits
Scottish Water	Abstracts from the Dee, invests in upstream nature-based solutions
Network Rail	UK-wide biodiversity uplift commitments, existing GY relationship
Balfour Beatty	Delivering peat BNG for SSEN in Scotland, active Scottish pipeline
Amey plc	Nature Positive Strategy launched September 2025, Scottish infrastructure contracts
SGN (Scotia Gas Networks)	Committed to BNG across its operational sites, Scottish award winner
Aggregate Industries	Nature positive by 2030, Glensanda quarry in Scotland

Voluntary Biodiversity

Market introduction. Voluntary biodiversity finance is driven by nature-positive pledges, ESG commitments and reputation. Companies either fund biodiversity uplift directly or buy voluntary biodiversity credits.

Market status. Uptake is held back by a lack of agreed standards, oversight and a single trusted framework. The Biodiversity Credit Alliance formed in 2024, and High-Level Principles were issued in May 2025.

Supply and demand. Brands such as Chanel, Coca Cola and Nestlé are striking bespoke biodiversity deals, and TNFD adoption is accelerating. Lidl, AstraZeneca and Nestlé have shown interest, and AstraZeneca has approximately £5 million for UK nature-based supply chain resilience projects.

MRV. MRV starts with a field baseline of habitat condition and species diversity, with satellite and AI monitoring where required. CreditNature runs five-year cycles, Wallacea combines annual remote monitoring with field checks over at least 30 years, and Earthly uses buyer-specific frameworks.

Routes to market. Three methodologies were appraised: the Ecosystem Restoration Code via CreditNature (NARIA), RePlanet using the Wallacea Trust method, and Earthly. Wallacea ranked first of 91 global methodologies under EU LIFE Biodiv CrEW. Earthly's first UK sale was 543 credits at approximately £50 per unit in October 2024.

Pricing. CreditNature and RePlanet both indicate £9,000 to £10,000 per hectare. Earthly pricing is around £100-200 per credit, with £300 per hectare also cited. Bespoke deal prices depend on package and sponsor priorities.

Upper Dee opportunity

At 150,000 hectares the Upper Dee holds a mosaic of heath, blanket bog, riparian woodland, montane scrub and river habitats in degraded but restorable condition. Charismatic species such as Atlantic salmon, otters, pearl mussels and wading birds open up species restoration funding. Its multi-benefit profile could command a premium over single-outcome projects. The NASCO angle may open a cross-border buyer market as NASCO's Ten-Year Strategy reporting begins from 2026.

Strategic customer targets

Organisation	Why relevant
Scottish Water	Primary Dee abstractor supplying approximately 300,000 people
Diageo Scotland Limited	Abstraction licence for Royal Lochnagar, depends on clean water
Deeside Water Company	Brand built on Dee provenance
Scottish Power	Shown appetite for voluntary biodiversity credits in Scotland
SSEN	Shown appetite for voluntary biodiversity credits in Scotland
Harbour Energy	Aberdeen-based, TNFD-aligned, nature-positive by 2030
Hardy & Greys	Salmon fly fishing brand, brand alignment
Orvis	5% for Nature programme funds salmon restoration
Simms Fishing Products	Conservation partnership programme published 2024
Patagonia	Environmental mission central to brand
Fisheries Management Scotland	Voluntary biodiversity fund in development with GY
Stabiliti	Green Margin route for food and drink retailers, concept stage
Mowi ASA	Net positive biodiversity by 2030, wild salmon narrative
SalMar ASA	TNFD early adopter, Scottish operations via Scottish Sea Farms
Cermaq	Scottish fish farms make Upper Dee attributable in reporting
AstraZeneca	£5m nature-based solutions envelope

Natural Flood Management (NFM)

Market introduction. UK flood costs are estimated at £1.6 billion a year, projected to reach £3.6 billion per year by 2050. Scotland published its first National Resilience Strategy in December 2024 and committed £150 million to flood resilience this Parliament. Most NFM deals so far are bespoke and made with nearby buyers who share an asset risk.

Market status. The UK NFM market is nascent, with no credit standards, pricing benchmarks or secondary market. Policy signals are strengthening, and Scottish Water has restored over 50 hectares of peatland at Loch Katrine since January 2025.

Supply and demand. Great Yellow is selling NFM benefits in the Evenlode Landscape Recovery project, with several deals advanced with utilities, roads and rail operators. Network Rail is in active NFM discussions with Great Yellow.

MRV. Phase 1 covers a broad assessment of hydrograph impact, buyer engagement on asset hotspots and upstream modelling. Phase 2 agrees success metrics, the asset ledger, verification principles and monitoring. Hydrological modelling is essential to any commercial deal.

Routes to market. NFM is not yet traded as a formal credit, and quantification is bespoke. Detailed hydrological modelling is the best way to build a buyer case. The Replenish standard is a secondary route.

Pricing. There is no uniform pricing for NFM credits or deals, as arrangements are made directly with each customer.

Upper Dee opportunity

SEPA's 2025 assessment puts 400,000 Scottish properties at medium flood risk, up from 284,000 in 2018 and projected to reach 634,000 by 2100. GPAP analysis finds over 310 km of roads and £114 million of economic assets within the project boundary at risk in the 1 in 200 plus climate change scenario. Invercauld and Ballater have 601 properties at risk in that scenario compared with 6 at the 1 in 10 return period.

Proposed interventions are peatland restoration on 9,113 hectares, 1,784.3 hectares of riparian woodland and floodplain reconnection, with peatland revegetation able to cut peak flows by up to 27%.

Case study: Nature for Networks (N4N), a five year SSSEN and Ofgem programme with a trial site at the 3,500 hectare Evenlode Landscape Recovery project, which holds contracts with over 60 farmers and landowners.

Strategic customer targets

Organisation	Why relevant
Aberdeenshire Council and the Ballater Community	Storm Frank flooded 307 homes and 60 businesses, Ballater defence plan priced at £31 million
SSSEN	Distribution lines in the Ballater and Braemar corridor, existing N4N relationship
Scottish Water	Cairnton abstraction and Invercannie works, £13.4 billion business plan
Transport Scotland and Roads Infrastructure	A93 and over 310 km of roads at risk
Amey	Transport Scotland contractor, possible buyer or delivery partner

Water Quality

Market introduction. Water treatment costs have risen sharply, and water companies are turning to nature-based solutions that tackle pollution at source. This shift has created a voluntary water quality market.

Market status. Scottish Water compliance is 99.92%, but it received 16,779 water quality complaints in 2024 and 34 incidents needed investigation, up from 29. Dissolved organic carbon from degraded peat is the root problem and is getting harder and costlier to treat.

Supply and demand. Great Yellow is working with English water companies on nature-based solutions, helped by Ofwat funding cycles. Great Yellow has yet to meaningfully engage Scottish Water on water quality, so Scottish demand is promising but nascent.

MRV. The main pollutant is diffuse DOC from degraded blanket peat, which is hard to attribute to specific actions. Credible MRV needs robust source apportionment and a clear causal chain from action to outcome.

Routes to market. A two-tier monitoring framework is proposed: baseline and trend monitoring with in-stream sensors and sampling, then attribution and valuation using sediment fingerprinting and avoided damage costs. Scottish Water's monitoring at Cairnton is an anchor point.

Pricing. Pricing is currently very bespoke and depends on the value a project offers to each client.

Upper Dee opportunity

The 150,000 hectare catchment supplies drinking water to approximately 300,000 people and sits directly upstream of a treatment works Scottish Water has committed to improving. The 9,113 hectares of peatland eligible for the Peatland Carbon Code are also a water quality asset, as restored peat exports less DOC and sediment. Combined with riparian woodland and floodplain reconnection, this is a first mover opportunity in Scottish water quality markets.

Case study: Ock and Thame Landscape Recovery Project, where Farmscoper modelling showed a 30-year present value of over £57 million from nitrate, phosphorus and sediment reductions.

Strategic customer targets

Organisation	Why relevant
Scottish Water	Primary target, £13.4 billion 2027 to 2033 plan, directly downstream
Diageo	Abstracts from the Dee, committed £3 million to peatland restoration, existing GY conversations
Aberdeenshire Council	Co-funder and enabling partner with statutory water duties
Cairngorms National Park Authority	Restoring more than 1,300 hectares of peatland a year in £12 million Cairngorms 2030 programme
SEPA	Regulator, not a buyer, but drives compliance urgency

The Replenish Market

Market introduction. The Replenish Market addresses water scarcity and catchment resilience through nature-based solutions such as peatland restoration, riparian planting and river restoration. Buyers fund these and measure benefits with volumetric metrics such as the Replenish Standard.

Market status. This is one of the least developed markets for MRV and legislation. Momentum is building among water-intensive industries such as distilling, brewing and bottled water.

Supply and demand. Commercial traction is bespoke and slow. In the 2022 drought SEPA suspended 175 abstraction licences across eastern Scotland, including on the Dee. Great Yellow is in active conversations with water companies and breweries on Replenish.

MRV. Replenish does not use unit-based MRV. It checks that investments match the company's disclosed water impacts and are sited in the catchment it abstracts from, mainly through the Alliance for Water Stewardship Standard.

Routes to market. Three routes: direct engagement with Scottish Water, direct engagement with licensed abstractors in the Dee catchment, and corporate water stewardship and supply chain insetting under TNFD and SBTN.

Upper Dee opportunity

The offer restores the catchment's natural water regulation across 150,000 ha, through peatland restoration, riparian woodland and river restoration. Buyers can join a catchment-scale payment for ecosystem services agreement, with payments calibrated to their licensed abstraction volume, water risk and disclosure duties. Contributions can stand alone or be bundled with carbon and biodiversity credits.

Case study: The Coca-Cola Foundation and The Rivers Trust partnership, which has replenished an estimated 2.75 billion litres of water and improved approximately 3,100 hectares since 2012.

Strategic customer targets

Organisation	Why relevant
Scottish Water	Anchor buyer, Cairnton abstraction, restored over 600 ha in the Cairngorms in 2025
Diageo Scotland Ltd	Abstraction licence at Royal Lochnagar, up to £5m pledged to Scottish peatland
Deeside Water Company Ltd	Abstracts at Ballater, brand tied to Dee purity
Elixir Distilleries	Independent distillery abstracting in the catchment
James Jones & Sons Ltd	Abstraction licences at Burnroot Sawmill, Dinnet
Balmoral, Invercauld, Glen Tanar and Glenmuick Estates, and NTS at Mar Lodge	Licence holders, better suited to partnership than PES
Glenshee Ltd	Abstraction licences for the Cairnwell ski centre
The Inver Hotel	Licensed abstractor at Crathie
Spittal of Glenshee Hotel	Licensed abstractor
Ballater Golf Club	Licensed abstractor
Braemar Community Hydro Ltd	Licensed abstractor

Regenerative Deer Management

Market introduction. Scotland's red deer population is approximately 400,000, and densities across much of the Highlands exceed 15 deer per km². The case is not against deer or sporting culture, but about the cost of overgrazing to the landscape and to estates.

Market status. The voluntary framework under the Deer (Scotland) Act 1996 has not delivered the needed reductions. The Natural Environment (Scotland) Act gives NatureScot powers to intervene where voluntary management falls short.

Supply and demand. Upper Dee densities are approximately 12 to 15 deer per km², against 5 per km² for natural woodland regeneration and 8 per km² for peatland protection. Mar Lodge grew naturally regenerated Caledonian pinewood from 155 hectares in 2011 to nearly 2,000 hectares by 2021 by reducing deer.

Routes to market. The Deer Management Incentive Scheme pays estates for culling above a baseline. The CNPA pilot pays when an estate's annual cull exceeds 110% of its three-year average. Further revenue comes from premium venison, peatland and woodland carbon, biodiversity credits, water markets and nature tourism.

Pricing. The 2024/25 DMIS pilot covered 28 properties across 50,747 hectares and paid £56,630 for 903 additional deer, approximately £63 per deer (£70 per adult female and £35 per juvenile). A proposed Scottish Government venison subsidy of £3 to 5 million per year is gaining traction.

Upper Dee opportunity

Reducing deer density unlocks carbon, biodiversity and water income across the 9,000+ hectares of degraded peatland and 1,700+ hectares of woodland opportunity. Mar Lodge, Cairngorms Connect and Glenfeshie show that stalking income and ecological recovery can coexist. Estates that act early can become preferred suppliers to buyers and government as frameworks mature.

Case study: Glenfeshie cut deer density from approximately 40 to 1 to 5 deer per km² and kept the same stalking day rate, while Mar Lodge runs a dual-zone model within the Upper Dee.

Ground Rules: Stacking and Bundling

Stacking sells separate benefits from the same project in different markets, while bundling combines them into one product, often at a premium. In the UK, stacking biodiversity units and carbon credits on the same hectare is restricted, so developers separate land parcels, as at Nattergal's Boothby Wildland. Water outcomes can be stacked or bundled with carbon and BNG where practicable.

Governance Structures

Great Yellow recommends a centralised LLP, for example the Upper Dee Nature LLP, as the central commercial entity. It sells natural capital units, holds obligations under conservation agreements and takes external investment, with Great Yellow as project manager and service provider. Income flows to landowners as an agreed per-hectare payment over a 20+ year period, mirroring the Evenlode model.

The LLP would use Xero, GY's proprietary platform, specialist MRV providers and Scottish solicitors, with a full corporate and project insurance suite and standard policies. Great Yellow is also developing SPV structuring as a service for one or more estates.

Blended Finance

Blended finance uses public capital to absorb early risk so that private investment becomes attractive at scale. Great Yellow almost exclusively works this way, linking land managers, project investors and outcome buyers.

Public funding	What it offers
Scottish Nature Restoration Fund	Over £65 million committed since 2021, with Helping Nature grants of £25,000 to £250,000 and Transforming Nature grants of £250,000 and above; the Upper Dee should apply in the 2027/28 round.
Facility for Investment Ready Nature in Scotland (FIRNS)	Funds tools and pathways for private investment in nature; currently closed but expected to reopen.
NatureScot Nature Investment Partnership	Targets raising more than £100 million in private capital for conservation.
Scottish Government Rural Payments (AECS)	Foundational income for land managers, within £9 billion committed to the agri-food sector over the climate plan period.
Forestry Grant Scheme	Covers part of woodland creation costs and can stack with Woodland Carbon Code credits.
Peatland ACTION	Competitive grant for peatland survey, design and restoration, with a September 2026 deadline; additionality under the Peatland Code must be checked first.
SEPA and Scottish Water Investment Programmes	SEPA sets catchment priorities under the River Basin Management Plan (2021 to 2027) and could provide a letter of support.

The Upper Dee capital stack is expected to be led mainly by the private sector, as Scottish public funding does not match English scale. Public sources are likely to provide between £500,000 and a few million pounds, useful for early development, surveys and restoration. Private capital is the engine, repaid through diversified natural capital revenues.

Private Capital

Public grants are expected to contribute £500,000 to low millions, while the Green Finance Institute puts the UK nature finance gap at £44 to 97 billion to 2032, with £15 to 27 billion in Scotland. Catalytic capital, equity at a typical 10 to 15% per annum, and senior debt are the three relevant forms, brought in by GY partners such as Rebalance Earth, nature equity funds, UK banks and outcome buyers.

GY's Recommendations

Agreed with the client: engage the eight Upper Dee landowners first, leading with peatland carbon and Scottish Water.

1. Dee Rivers Trust pursues the opportunities individually with landowners and partners.
2. Work with the wider Dee Resilience Group to build a catchment-scale investment plan linking public beneficiaries with private investment.
3. Engage the eight Upper Dee landowners to link natural capital revenue with the future of the sporting estate.

The third route, engaging the eight landowners, is preferred because interventions must be delivered at scale by Upper Dee landowners.

Further recommendations

- Secure landowner participation first through a transparent, co-design-led process before any market outreach.
- Commission baseline surveys to code-equivalent standards, starting with peatland, which is ~7 to 10x cheaper per hectare than woodland.
- Lead commercially with Peatland Code carbon and Scottish Water as anchor water buyer, treating biodiversity, salmon and Green Margin as second-wave upside.
- Resolve the Peatland Code additionality question before pursuing the September 2026 Peatland ACTION grant.
- Confirm the centralised LLP under Scots law and identify who funds pre-commercial work, possibly catalytic capital via Rebalance Earth.
- Tighten the carbon numbers to one combined figure, one crediting period and one pricing basis before investor conversations.
- Position the project as an early demonstrator of new Scottish frameworks such as the Natural Environment (Scotland) Act and the priority-catchment designation.

Next Steps and Conclusion

Great Yellow proposes that Dee Rivers Trust, the Atlantic Salmon Trust and Cairngorms National Park convene a private meeting with Upper Dee landowners or their representatives. GY would present headline findings and propose a landowner-led initiative, and with enough landowner intent is confident of securing catalytic funding and support from downstream beneficiaries.

The Upper Dee is an extraordinary nature finance opportunity with enough revenue potential, subject to final cost analysis, to scale restoration through blended finance. The next phase should build the evidence base: landowner engagement, baseline surveys to code-equivalent standards and hydrological assessment.